

UP Folder Number 2481-05

EASEMENT AGREEMENT

THIS Easement Deed and Agreement ("Agreement") is made and entered into as of the ____ day of _____, 2011, by and between UNION PACIFIC RAILROAD COMPANY, a Delaware corporation ("Grantor"), and CITY OF CHEYENNE, a municipal corporation of the State of Wyoming ("Grantee").

RECITALS

Grantee, under its Project RFP-3-07, Contract 5033 (the "Project") has requested Grantor's permission to construct, use, maintain, repair and renew a portion of Grantee's East Cheyenne Greenway Phase III Project trail (the "Trail") on, along and across Grantor's property in the location shown on the survey and Grantor's print, each marked **Exhibit A** and as described in the legal description marked **Exhibit A-1**, with each exhibit being attached hereto and hereby made a part hereof (the "Easement Area").

The plans for the Trail are marked **Exhibit B**, attached hereto and hereby made a part hereof (the "Plans").

This Agreement is made to cover the construction, use, maintenance, repair and renewal of the Trail on, along and across the Easement Area.

AGREEMENT

Grantor and Grantee hereby mutually agree as follows:

Section 1. GRANT OF EASEMENT

A. Grantor, for and in consideration of the sum of Six Thousand Five Hundred Dollars (\$6,500.00), to it paid by Grantee, the receipt whereof is hereby acknowledged, grants to Grantee, its successors and assigns, an EASEMENT ("Easement") upon, along and across the Easement Area for the operation and maintenance of a ten (10) foot wide concrete recreational, pedestrian and bicycle trail and associated drainage facilities and fencing, only, for the purpose of the rights herein granted. The Easement is subject to the limitations set forth in this Agreement.

B. The Easement herein granted is for recreational, pedestrian and bicycle trail purposes only. Without limitation of the foregoing, this grant does not include the right to install utilities of

any nature, including, without limitation, fiber optic, cable television, electrical, gas or liquid distribution, and telephone lines, except for electrical lines needed for Trail lighting.

C. RESERVING, however, unto the Grantor, its successors and assigns, the right to construct at any and all times and to maintain railroad tracks, track appurtenances, fiber optic or signal lines and facilities, pipe, telephone, and electric pole and wire lines, over, under and across the Easement Area, but in such a way as to not unreasonably interfere with Grantee's use of the Easement Area, for the purposes specified in this Agreement; it being understood that the rights so reserved unto the Grantor, its successors and assigns, are retained along with the general right of the Grantor, its successors and assigns, to the use of the Easement Area, for any purpose not inconsistent with Grantee's use of the Easement Area, for the purposes herein defined, including, but not limited to any and all general railroad purposes.

D. The Easement is also limited to such rights as the Grantor may have in the Easement Area and is granted without warranty, express or implied. No damages shall be recoverable from Grantor because of any dispossession of the Grantee or because of failure of, or defect in, Grantor's title.

E. This Easement is also made SUBJECT TO all outstanding leases, licenses and other outstanding rights, including, but not limited to, those for pipelines, wirelines and roadways and the right of renewals and extensions of the same (whether recorded or unrecorded) and also subject to all conditions, limitations, restrictions, encumbrances, reservations or interests of any person which may affect the Easement Area, whether recorded or unrecorded.

Section 2. NO PROJECT COSTS TO BE BORNE BY GRANTOR

Grantee confirms that Grantor shall not bear any Project costs nor shall Grantor be required to provide any funding for the Project.

Section 3. CONSTRUCTION OF TRAIL

A. Grantee, at its expense, will completely fund the administration, design and construction of the Trail including, without limitation, construction contract administration of the Project, construction phasing and traffic control and Federal, State and Local permitting.

B. Grantor has approved the Plans for the Trail, provided Grantor's review shall be for its own purposes and benefit, and Grantor shall not be deemed liable to any other party for defects in any Plans or plan approval by Grantor.

C. Grantee, at its expense, shall (i) construct the Trail within the Easement Area in full compliance with the Plans, (ii) provide, maintain and keep clear of obstruction adequate drainage to preserve the natural and pre-existing drainage patterns for both the Trail and also the College Drive overpass structure above the Trail to ensure that the drainage from the overpass and Trail will not interfere with or damage Grantor's property adjacent to or near the Easement Area, including Grantor's tracks and right of way, (iii) provide, maintain, repair and renew adequate lighting of the Trail within the Easement Area, (iv) erect, maintain, repair and renew a 10-foot by 12-foot enclosed black vinyl coated chain link fencing on all portions of the Trail that are located within the Easement

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Area, and (v) provide, maintain, repair and renew lighting (as approved by Grantor) under the College Drive overpass at locations on Railroad's property other than on the Easement Area.

D. As part of this Project, Grantee, at its expense and simultaneously within the same Project scheduled completion period, shall also replace the Railroad's existing north right of way 4-strand barb wire fencing located within the Project limits and west of College Drive with a chain link fence that matches the seven (7) foot height of the existing chain link fencing separating Railroad's right of way from the Henderson Basin detention facility located on the east side of College Drive; with such fencing to be constructed in the locations shown and described on **Exhibit B**. Grantee must obtain Railroad's written approval of the fencing plans prior to Grantee constructing such fencing. As part of this Project, Grantee, at its expense, shall also reasonably compact and seed within the Easement Area any disturbed areas due to the construction of the Trail.

E. As part of this Project, Grantee, at its expense, shall also replace Grantor's existing seven (7) foot high chain link fencing along Grantee's future Greenway trail path which is to be constructed within the adjacent 250-foot wide (plus or minus) corridor north of Grantor's main line tracks between the western limits of the Grantee's current Greenway Phase III project and the location of Grantee's Norris Avenue overpass structure to the west. The fencing described in the preceding sentence shall be located in the locations shown on **Exhibit B** and construction of such fencing shall occur when Grantee is constructing such future Greenway trail improvements. Grantee shall not commence the construction of such fencing until Grantor has provided Grantee the Grantor's written approval of such fencing plans.

F. Grantee, at its expense, shall provide Grantor with a complete set of "as-built" construction drawings of the Trail within the Easement Area upon Grantee's completion of such construction.

Section 4. USE, MAINTENANCE AND REPAIR OF TRAIL AND FENCING

Grantee, at its expense, shall maintain, repair and renew the entire Trail within the Easement Area and also all fencing described in Section 3 above. Such maintenance shall include, without limitation, all upkeep involving the Trail and fencing, law enforcement to prevent trespassing onto Railroad's adjacent property, sanitation, trash removal, drainage and regulation of hours of use and graffiti removal.

Section 5. WORK TO BE PERFORMED BY GRANTOR; BILLING SENT TO GRANTEE; GRANTEE'S PAYMENT OF BILLING

A. Grantor, at Grantee's expense, shall perform the work described in Grantor's estimate dated January 14, 2010, marked **Exhibit C**, attached hereto and hereby made a part hereof.

B. Grantor shall send billing to Grantee within one hundred eighty (180) days after receiving written notice from Grantee that all Project work within any portion of Railroad's right of way has been completed.

C. Grantee shall pay Grantor for all actual costs incurred by Grantor, including Grantor's customary additives, in connection with this Project within thirty (30) days of receipt of billing from Grantor.

Section 6. CONTRACTOR'S RIGHT OF ENTRY AGREEMENT

A. Grantee shall require its contractor(s) that will be performing any Project work on Grantor's right of way (including initial construction and any subsequent maintenance and repair work) to execute the Grantor's then current Contractor's Right of Entry Agreement and to obtain and provide to Grantor the insurance policies, binders, certificates and endorsements that are required in such Contractor's Right of Entry Agreement prior to allowing its contractor(s) to commence any work on Grantor's right of way.

B. Grantee confirms that it has received from Grantor the Grantor's current form of Contractor's Right of Entry Agreement.

Section 7. INDEMNITY

A. Grantee, to the extent it may lawfully do so, for itself, its successors and assigns, agrees to indemnify, defend and hold harmless Grantor and its affiliates, and their officers, agents, employees, successors and assigns, against and from any and all liability, loss, damage, claims, demands, actions, causes of action, costs and expenses of whatsoever nature, including court costs and attorney's fees, which may result from personal injury to or death of persons whomsoever, or damage to or loss or destruction of property whatsoever, when such personal injury, death, loss, destruction or damage grows out of or arises from (i) the presence of the Trail within the Easement Area, (ii) the exercise by the general public or by Grantee, its agents, employees, contractors, licensees or invitees of any of the rights herein granted with respect to the Easement, or (iii) the breach by Grantee of this Agreement, in each case regardless of any negligence of Grantor, its officers, agents or employees, provided however, that the Grantee shall not be subjected to liability for judgments, damages, costs, attorney's fees or other damages or expense to the extent the Grantee's liability would exceed Ten Million Dollars (\$10,000,000.00) per accident or occurrence.

B. To the extent it may lawfully do so, as between Grantor and Grantee, and subject to the limitations specified in Section 7A of this Easement Agreement, Grantee hereby waives its governmental immunity by entering into this Easement Agreement, provided however, that Grantee retains all immunities and defenses available to Grantee as a governmental entity pursuant to the Wyoming Governmental Claims Act, W.S. §§ 1-39-101, et seq., to the extent that the Grantee's liability would exceed Ten Million Dollars (\$10,000,000.00) for any accident or occurrence, regardless of the number of claims arising from the occurrence. Grantee acknowledges its obligations set forth in Section 8 below are intended to effect the extension of liability of Grantee hereunder to the maximum extent permitted under W.S. § 1-39-118(b) of the Wyoming Governmental Claims Act. Nothing in this Easement Agreement shall be construed as a waiver of Grantee's governmental immunity to the extent that the Grantee's liability would exceed Ten Million Dollars (\$10,000,000.00) per accident or occurrence.

Section 8. INSURANCE

Grantee shall, at its own sole cost and expense, procure the following kinds of insurance and promptly pay when due all premiums for that insurance. The following insurance, unless otherwise specified in this Agreement, shall be kept in force by Grantee and Grantee's successors until such time as Grantee records a written release of this Agreement in the public real estate records of Laramie County, Wyoming, and removes the Trail from the Easement Area in a manner approved by Grantor. Grantee shall provide to Grantor a certificate of insurance issued by a duly authorized insurer as follows:

Commercial general liability (CGL) insurance with a limit of not less than \$10,000,000 for each accident or occurrence, regardless of the number of claims which may arise from an occurrence. CGL insurance must be written on ISO occurrence form CG 00 01 12 04 or a substitute form providing equivalent coverage.

Business auto liability coverage written on ISO form CA 00 01 10 01, or a substitute form providing equivalent coverage, with a limit of not less \$2,000,000 for each accident, and coverage must include liability arising out of any auto (including owned, hired, and non-owned autos) at any time there is a city or city contractor's auto (auto as defined by the required ISO Business Auto insurance form, or a substitute form providing equivalent coverage) is on or within fifty (50) feet of railroad property for the purpose of construction or maintenance in connection with this Agreement.

Workers Compensation and Employers Liability insurance in accordance with the Wyoming statutes and the Wyoming Workers Compensation Fund.

Grantee shall include Grantor as an additional insured with respect to all insurable liabilities arising out of Grantee's obligations to Grantor in this Agreement using ISO Additional Insured Endorsement CG 20 26 (or a substitute form providing equivalent coverage). Additional Insured coverage shall be primary and noncontributory with respect to any insurance carried by Grantor.

The fact that insurance is obtained by Grantee on behalf of Grantor will not be deemed to release or diminish the liability of Grantee, including, without limitation, liability under the indemnity provisions of this Agreement. Damages recoverable by Grantor from Grantee or any third party will not be limited by the amount of the required insurance coverage, unless limited by statute, including the Wyoming Governmental Claims Act.

Section 9. TERMINATION ON DEFAULT

Grantor may terminate this Agreement if Grantee fails to cure any material default of the terms of this Agreement, and after written notice is given by Grantor to Grantee specifying the default, Grantee fails either to immediately commence to cure the default, or to complete the cure expeditiously but in all events within thirty (30) days after the default notice is given.

Section 10. ABANDONMENT

If Grantee, its successors or assigns, shall abandon the Easement Area for the purposes of this Easement, then this Agreement and the rights herein granted shall cease automatically and terminate, and the title to the Easement Area shall be freed from the burden of this Easement. It is further agreed that nonuse of the Easement Area for the purposes of this Easement for a continuous period of one (1) year shall be deemed an abandonment of the Easement Area.

Section 11. NOTICES

Any notices required or desired to be given under this Agreement shall be in writing and personally served, given by overnight express delivery, or given by mail. Telecopy notices shall be deemed valid only to the extent they are (a) actually received by the individual to whom addressed and (b) followed by delivery of actual notice in the manner described above within three (3) business days thereafter. Any notice given by mail shall be sent, postage prepaid, by certified mail, return receipt requested, addressed to the party to receive at the following address or at such other address as the party may from time to time direct in writing:

Grantor: UNION PACIFIC RAILROAD COMPANY
Real Estate Department
Attn: Assistant Vice President-Real Estate
1400 Douglas Street, MS 1690
Omaha, Nebraska 68179
Facsimile: (402) 501-0340

Grantee: CITY OF CHEYENNE
Attn: Richard L. Kaysen
Mayor,
2101 O'Neil Avenue
Cheyenne, WY 82001
Facsimile: 307-637-6378

Express delivery notices shall be deemed to be given upon receipt. Postal notices shall be deemed to be given three (3) days after deposit with the United States Postal Service.

Section 12. RESTORATION OF RAILROAD'S PROPERTY UPON TERMINATION.

In the event of termination howsoever of this Easement, (i) Grantee shall deliver to Grantor a recordable instrument evidencing that the title to the Easement Area is free and clear of the burden of this Easement and is free and clear of liens, encumbrances, clouds upon or defects in the title created or permitted to be created by Grantee, and (ii) within thirty (30) days after receipt of notice from Grantor to perform such activities, Grantee shall remove the Trail and all appurtenances constructed on the Easement Area and restore the Easement Area to its original condition, failing in which Grantor may perform such activities at Grantee's expense.

Section 13. CHOICE OF LAW; VENUE

A. The construction, interpretation and enforcement of this Agreement shall be governed by the laws of the State of Wyoming, unless such laws are otherwise preempted by applicable federal laws, rules and regulations.

B. The venue for any action or dispute arising out of this Agreement shall be in the State of Wyoming.

IN WITNESS WHEREOF, the parties hereto have caused this Agreement to be duly executed as of the date first herein written.

Attest:

UNION PACIFIC RAILROAD COMPANY

Assistant Secretary

By: _____
Title: _____

(Seal)

Attest:

CITY OF CHEYENNE

City Clerk

By: _____
Title: _____

STATE OF NEBRASKA)
) **ss**
COUNTY OF DOUGLAS)

On _____, 20_____, before me, a Notary Public in and for said County and _____ State, _____ personally appeared _____ and _____ who are the _____ and the Assistant Secretary, respectively, of Union Pacific Railroad Company, a Delaware corporation, and who are personally known to me (or proved to me on the basis of satisfactory evidence) to be the persons whose names are subscribed to in the within instrument, and acknowledged to me that they executed the same in their authorized capacities, and that by their signatures on the instrument the persons, or the entity upon behalf of which the persons acted, executed the instrument.

WITNESS my hand and official seal.

Notary Public

(Seal)

STATE OF WYOMING)
) **ss**
COUNTY OF LARAMIE)

On _____, 20____, before me, a Notary Public in and for said County and State, personally appeared _____ who is the _____, of City of Cheyenne, and who is personally known to me (or proved to me on the basis of satisfactory evidence) to be the person whose name is subscribed to in the within instrument, and acknowledged to me that he/she executed the same in his/her authorized capacity, and that by his/her signature on the instrument the person, or the entity upon behalf of which the person acted, executed the instrument.

WITNESS my hand and official seal.

Notary Public

(Seal)

EXHIBIT A

Exhibit A will be the survey and Grantor's print showing the location of the Trail on Grantor's property.

EXHIBIT A-1

Exhibit A-1 will be the legal description of the Easement Area.

EXHIBIT B

Exhibit B will be the Plans of the Trail.

EXHIBIT C

Exhibit C is Grantor's Material and Force Account Estimate.